

The Commodities Feed: Middle East escalation sends energy prices higher

Supply risks continue to grow in energy markets amid an escalation in attacks on Persian Gulf energy infrastructure



Energy – LNG supply risks grow

Oil prices are surging amid an escalation in the Persian Gulf. ICE Brent is up more than 4% this morning, breaking above \$112/bbl. Meanwhile, European natural gas prices are set to open higher after further overnight escalation. Strikes on Iranian energy assets yesterday have Iran retaliating by striking energy infrastructure in neighbouring Gulf countries. This raises fears of a more prolonged disruption to Persian Gulf energy supplies. The move to strike Iranian energy assets is odd, given that the US administration has been trying over the last couple of weeks to ease the upward pressure on oil prices. Attacks on energy infrastructure eclipse these factors and, especially amid retaliation, point to additional upside for prices.

Iran's retaliatory attacks on neighbours are more of a concern for the gas market. Qatar Energy announced that its Ras Laffan Industrial City (RLIC) suffered extensive damage after a missile strike from Iran. RLIC houses the world's largest LNG export plant. Qatar exports 105 bcm of LNG from the site, accounting for nearly 20% of global LNG trade. It's not clear what part of RLIC has been hit. The site is significant, covering 295 square kilometres. Also, it's home to refineries and petrochemical plants. Damage to the LNG facilities means that the troubles for global gas markets

aren't just about when flows through the Strait of Hormuz resume, but how long repair work at the sites might take. Even if it turns out that the LNG facilities are largely untouched, the market will have to price in a higher risk premium, given the growing threat to energy infrastructure in the region.

As for Iran's energy assets, the South Pars gas field was hit. It accounts for around 70% of total Iranian natural gas output. It's unclear how significant the damage is, but clearly, risks abound for Iranian natural gas exports to Turkey, Iraq, and Armenia. Turkey imports roughly 8bcm annually from Iran. Potential disruptions to these flows would leave the country looking elsewhere for supply, potentially increasing reliance on Russia for additional pipeline gas.

The latest positioning data shows that investment funds continue to increase their net long in TTF amid the ongoing supply disruptions in the LNG market. Funds bought 37.9TWh over the last reporting week, leaving them with a net long of 234.3TWh. This is the largest position since February 2025. The net long in TTF has increased by 113TWh since the US-Israeli strikes on Iran started.

In the European carbon market, European Union Allowance (EUA) prices are under pressure. The December contract trading in the region of EUR65/t, despite the surge in natural gas prices. Stronger gas prices make coal power generation relatively more attractive, which in theory should be supportive for EUA prices. Yet noise around reducing the burden of higher energy prices will weigh on EUAs, while higher energy prices will likely also raise concerns about industrial activity. Investment funds continue to cut their net long in EUAs, selling 13.3k contracts over the last week. This leaves them with a net long of 39k contracts, the smallest position since August 2025.

Metals – Gold slides to a one month low as energy prices surge

Gold fell to its lowest level in a month. It's being pressured by a sharp rise in energy prices, which is raising inflation concerns and reinforcing expectations of a higher for longer rates backdrop. The rally in oil followed renewed escalation in the Middle East, with markets increasingly pricing the risk of disruptions to energy supplies and shipping routes. While geopolitical tensions typically support safe haven demand, the inflationary impact of higher energy costs is weighing on gold. It's pushing real yields higher and capping the upside. Copper and other industrial metals also slumped, as rising energy costs and broader risk off sentiment added to downside pressure across the base metals complex.

In ferrous metals, iron ore prices retreated from two-month highs after China Mineral Resources Group relaxed restrictions on one of BHP's operations, easing near-term supply concerns. While ongoing negotiations could keep volatility elevated in the short term, the broader supply balance looks more relaxed for the year. Chinese port inventories rose for a fourteenth consecutive week to a record 167Mt. This is being driven by strong shipments from major producers and persistently weak steel demand amid the prolonged property downturn.

Agriculture – Chinese grain imports rise sharply

China Customs data show that corn imports increased by 121.4% year-on-year to 170kt in February, while cumulative imports rose 207.9% to 550kt in the first two months of the year. Similarly, wheat imports surged 344% YoY to 320kt last month, bringing cumulative imports for the first two months of the year to 1.3mt, up 1,068.7%. The significant rise in imports was largely driven by China's strategy to diversify its supply chain away from traditional suppliers toward a

more diversified and resilient supply chain (particularly Argentina, and Brazil) to enhance food security amid ongoing trade tensions. Lastly, sugar imports surged 1,410.8% YoY to 240kt last month, whilst cumulative imports are up 563% to 520kt over the period mentioned above.

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